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ISA 800/805

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Agenda Item 4
New York, USA
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Background and Introduction

- Proposed changes to ISA 800/ 805 were limited in nature
 - *Limited* to explaining how the enhancements resulting from the new and revised Auditor Reporting (AR) standards apply to audits to which ISA 800 and ISA 805 apply
 - *No* substantive changes to ISA 800 and ISA 805, in particular to the underlying premises
 - *Retained* extant approach of not repeating requirements of other ISAs
 - For ease of reference refer in this presentation to “ISA 800 reports” and “ISA 805 reports” even if ISA 700 applies

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Background and Introduction

- Categorized approach applied by DT-700 to analyze respondents' feedback on the ED (Agenda Item 4-A, para. 6)
 - a) Issues arising from new and revised AR standards
 - b) Issues arising from proposed changes to ISA 800/805
 - c) Issues that are out of scope
 - d) Issues that existed in extant ISA 800/805

Appendix 2 to Agenda Item 4-A summarizes the respondents' feedback that are not being dealt with at this time

Matter for IAASB Consideration

IAASB is asked to **provide input on DT-700's approach to responding to the feedback on the ED**, in particular whether they agree with DT-700's recommendation to not address the type of issues described in paragraphs 6(c), 6(d) and the Appendix to **Agenda Item 4-A**.

Feedback on ED: General Comments

- General support for IAASB's approach to not repeat requirements in proposed ISA 800 (Revised) and proposed ISA 805 (Revised), but:
 - Many respondents asked for clarification, or more guidance for new provisions relating to reporting about GC, KAM and OI
- Most of the respondents' feedback relates to proposed ISA 805 (Revised), rather than proposed ISA 800 (Revised), though some comments applied to both standards

Feedback on ED: Applicability of KAM

- Most respondents supported IAASB's proposal for voluntary KAM
 - One respondent asked for KAM to be required for audits of special purpose f/s, while a few challenged the idea of even having voluntary KAM in ISA 800/805 reports
=> Vast majority supported voluntary KAM, therefore retained
 - Requests for guidance to better explain how voluntary application of ISA 701 would be possible when a separate those charged with governance (TCWG) function does not exist
=> Aligned guidance on TCWG with ISA 260 (Revised), therefore TCWG always exist

Feedback on ED: Naming the Engagement Partner (EP)

- Most respondents supported IAASB's proposal for naming the EP in ISA 800/805 reports for listed entities
 - Questions raised by six respondents about the requirement to name the engagement partner (EP) in the ISA 800 and ISA 805 auditor's report
=> Vast majority supported proposal in ED, therefore retained

Matters for IAASB Consideration

Does the IAASB agree with DT-700's recommendations relating to the applicability of KAM and the naming of the EP?

Other Feedback and Revisions Related to ED ISA 800/805

- Revised proposed ISA 800 (Revised) and proposed ISA 805 (Revised) include changes resulting from
 - Approved conforming amendments that formed part of the revisions to the ISAs as a result of the Disclosures project
 - Suggested amendments that should have been made as a result the Disclosures project
 - Other editorials and corrections that were identified by DT-700 or raised by respondents (including conforming amendments from ISA 720 (Revised))

Feedback on ED: ISA 805 and the Auditor's Report on the Complete Set of F/S (CFS)

- Respondents did not appear to understand the proposed requirements in paragraph 14–16 of proposed ISA 805 (Revised)
 - Questions raised about the intended meaning of the extant requirements
=> Added limited Application Material even though beyond scope
 - Concerns expressed about distinction between determining the effect and making a reference
 - Concerns raised about the proposed requirement to repeat the GC section in the ISA 805 auditor's report
=> Retain requirement to determining the effect on the ISA 805 report; new requirement to make reference only

Feedback on ED: ISA 805 and the Auditor's Report on the CFS (Continue)

- Respondents did not appear to understand the proposed requirements in paragraph 14–16 of proposed ISA 805 (Revised)
 - Calls for consistency in the treatment of MU related to GC, uncorrected MM of OI, KAM, etc.
=> Requirement for reference only for all matters
 - Confusion about how to apply the new application material relating to KAM
=> Retain Application Material with the reference to the voluntary application of ISA 701 for ISA 805-specific KAM
=> Drop Application Material for reference to complete set KAM; replaced with requirement to reference for all matters

ISA 805 and the Auditor's Report on the CFS

Extant ISA 805, para. 14



ISA 800/805 ED, paras.14-16 and A19, A23

Determine the effect on the ISA 805 report, if the auditor's report on the complete set of f/s include **a modified opinion, EOM or OM** paragraph

- (1) **Retain extant** requirements
- (2) When deemed appropriate, auditor required to **include a statement that describes an uncorrected MM of OI**
- (3) Auditor required to **repeat the GC section** when there is a MU related to GC
- (4) Auditor **may include a reference** in ISA 805 auditor's report **to flag KAM**

DT-700 Suggested Revisions to Requirements in Proposed ISA 805 (Revised), paras. 14–16

As in extant ISA 805, **determine the effect on the ISA 805 report**, if the auditor's report on the complete set of f/s include a modified opinion, an EOM or OM paragraph, a MU related to GC, or an uncorrected MM of OI [Para. 14 of Agenda Item 4-C]

Include a reference in the ISA 805 report to alert users about a modified opinion, an EOM or OM paragraph, a MU related to GC, uncorrected MM of OI or KAM in the auditor's report on the complete set of f/s [Para. 15 of Agenda Item 4-C]

DT-700 Suggested Revisions to Proposed ISA 805 (Revised), paras. 14–16 (continued)

- Auditor always required to **determine the effects on the ISA 805 auditor's report** of certain matters
 - Based on facts and circumstances (added new Application Material)
 - Allows for application of auditor judgment
- Reference only a “pointer” providing transparency to users of ISA 805 reports that have access to complete set of f/s
 - Always required, no “relevance test” requiring judgment
 - Not required if complete set audited by other auditor, but can mention this

Matters for IAASB Consideration for ISA 805

The IAASB is asked to **provide input on DT-700's suggested revisions** to the requirements, application material and related illustrations **related to the consideration of the effects of certain matters** included in the auditor's report on the complete set of financial statements, on the ISA 805 audit report, and the **inclusion of a reference in the ISA 805 auditor's report to the auditor's report** on the complete set of financial statements.

Reference in ISA 800 Report to the Auditor's Report on General Purpose Financial Statements

- The requirement in ISA 805 **to determine the effect** of matters in auditor's report on the complete set of general purpose f/s on the ISA 805 auditor's report **do not apply to ISA 800** because of different financial reporting frameworks (extant ISA 800)
- Respondents asked about why ISA 800 auditor's reports do not include reference to matters included in auditor's report on the complete set of general purpose f/s

=> Solution: Apply the same requirement for reference as ISA 805 (see para. 16 of Agenda Item 4-B)

Matters for IAASB Consideration for ISA 800

The IAASB is asked to **provide input on DT-700's suggested revisions** to the requirements, application material and related illustrations **related to including a reference in the ISA 800 auditor's report to matters** (i.e., a modified opinion, EOM or OM paragraphs, MU related to GC section, communication of KAM, or a statement that describes an uncorrected material misstatement of the OI) **in the auditor's report on the general purpose financial statements**